

TYPICAL EXPENSES



Payroll

Salaries and wages paid to staff, temporary contractors, and indirect labor



Utilities

Water, electricity, and gas; postage and shipping; transportation



Insurance

Insurance on fixed assets and personal liability insurance for employees



Phone/internet bills

Cost of telephone, broadband internet, and mobile devices used by employees



Advertising

Sales and marketing of the company and its products



Office supplies

Stationery such as pens, paper, and filing systems, office printers, furniture, lighting



Legal fees and professional services

Accounting and legal fees, payable to accountants, auditors, and legal advisers



Interest on loans

Interest paid on money borrowed, which counts as a business expense



Tax

Varying among jurisdictions, this may include payroll tax and corporation tax



Entertainment

Legitimate costs of business entertaining, subject to certain criteria being met



Case study: operating costs

This table breaks down the company's operating costs in more detail. It is important to read any notes regarding depreciation and ordinary and extraordinary costs and gains.

Manpower costs including basic pay and pensions, overtime payments, staff training, and maternity leave

Term given to the gradual decline in an asset's value, caused by factors such as wear and tear and market conditions.

Decrease in value over time of intangible assets or loans

Profit or loss on the sale of fixed assets

Leasing costs for buildings and equipment

Research and development carried out to improve the reliability and effectiveness of services

Directors' remuneration including base salaries and benefits, pensions, car and health benefits, share options, and bonuses

	Year 2013 £m	Year 2012 £m
● Manpower costs	51.7	45.3
Materials and consumables	29.1	26.7
Other operational costs	67.6	63.8
● Depreciation	120.3	114.0
● Amortization of grants and contributions	(0.8)	(0.8)
● Loss/(gain) on disposals of fixed assets	0.2	(0.5)
	268.1	248.5
● Operating leases for plant and machinery	1.5	1.2
● Research and development	0.1	0.1
● Directors' remuneration	2.1	1.8
Fees paid to the auditor	0.2	0.2

Figures in parentheses represent negative numbers.